

DIRECTV MANAGEMENT COMPENSATION PLAN

Effective November 1, 2022

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DIRECTV'S COMPENSATION GUIDING PRINCIPLES FOR MANAGEMENT EMPLOYEES

The guiding principles of this philosophy are as follows:

- **Market-competitive** – The Management Compensation Plan (the Plan) is designed to effectively position the Company's cash compensation in the markets in which we compete to help us attract, retain, and motivate employees. DIRECTV Compensation reviews market information annually to help determine the competitiveness of the Company's cash compensation elements.
- **Total compensation perspective** – The Plan provides various types of compensation components which can comprise an employee's annual Total Rewards.
- **Performance-based** – Compensation opportunities are based not only on the market value of the job being performed, but on employee performance which can be measured by the successful completion of job responsibilities and the accomplishment of annual performance goals. Company performance is also a factor in certain compensation components.
- **Flexible** – The Plan design offers flexibility to reward management employees based on their ability to contribute and accomplish goals according to the needs of the business.

PLAN ELIGIBILITY

All regular, non-bargained management employees of DIRECTV Participating Companies are covered by the provisions of the Management Compensation Plan unless the Plan otherwise excludes their business unit or job function from participating.

This plan applies to all participating U.S.-based DIRECTV management employees, including all participating U.S.-based DIRECTV Career Levels C1 to C6 management employees, including management employees located in Puerto Rico. The Success Bonus portion of this plan also applies to C7, C8, and C9 employees.

Sales compensation is outside the scope of this Plan. Sales employees may not be eligible for the short-term incentives under this Plan.

PLAN EXCEPTIONS

Exceptions to the provisions in this Plan document must be approved by the VP, Rewards and the Chief Human Resources Officer.

KEY PLAN ELEMENTS AND CONCEPTS

Total Compensation includes both cash and non-cash components:

Cash Components:

- Base Salary
- Short-Term Incentives
 - DIRECTV Success Bonus
 - DIRECTV Recognition Awards (Extraordinary Award, Best of the Best Award, Spot Award, Elite Award)
- Special Incentives
- Other Cash awards

Non-Cash Components:

- Recognition awards (e.g. Spot Award, Elite Award, Pinnacle Awards received as non-cash awards)
- Non-cash incentive awards
- Formal employee benefit plans and programs
- Other compensation not readily convertible to cash values, such as meals or merchandise awards

CASH COMPENSATION: BASE SALARY

Base Salary is the fixed compensation component of an employee's pay. Base salaries fit within a Salary Range, which provides the high and low dollar values for a group of jobs with similar pay in the job market. The Salary Range is a key factor in determining an employee's base salary. Additional factors include the employee's knowledge, skills, abilities, performance, and pay relative to other employees.

The Company reviews external market and internal data to determine if annual increases will be recommended. If approved, a budget is provided to supervisors for allocation and base salary increases may be given to eligible employees.

COST OF LABOR AND GEOGRAPHICAL DIFFERENCES

DIRECTV recognizes there are certain locations where the cost of labor is higher or lower than the national average. Based on the work location of an employee, the Salary Range may be adjusted higher or lower than the national average based on the cost of labor for similar jobs in that location.

The "cost of labor," which is the market value of a job in a given geographic area, differs from the "cost of living" - the cost of food, housing, etc. in that same geographic area. While there is often a correlation between cost of labor and cost of living, a city with a high cost of living will not necessarily have a high cost of labor.

ANNUAL SALARY REVIEW AND INCREASES

On an annual basis, DIRECTV conducts a salary review of the base salaries of our employees. If an increase in base salary is given to an employee, the increase is typically effective in March. Salary Increases may be based on employee performance and increase in expertise, internal equity, and/or an employee's actual base salary as compared to market. Salary Increases are offered solely at the discretion of the Company and are not guaranteed.

DIRECTV also recognizes the need to make base salary adjustments outside of the Annual Salary Increase process, when appropriate and approved by leadership. If you need more information on this topic, please contact your HR Business Partner.

CASH COMPENSATION: SHORT-TERM INCENTIVES

Short-term incentives for management employees are comprised of the Success Bonus, which focuses on company and business unit performance, and the Extraordinary Award, which focuses on individual performance. Sales-compensated employees are excluded from earning a Success Bonus or Extraordinary Award, unless they are specifically identified as being eligible by their assigned sales compensation plan. Additionally, management employees at C7+ are also excluded from the Extraordinary Award.

DIRECTV SUCCESS BONUS

The Success Bonus is dependent upon company performance measures during the annual performance period, which is January to December (the Performance Year), payable before March 15th of the following year (Payout Year). All management employees assigned to a Success Bonus eligible position are eligible to receive the Success Bonus. The actual payout can range from 0% to 150% of the applicable target. While the actual payout can be as much as 150% of the applicable target, that maximum may be exceeded in certain defined circumstances. Success Bonus targets are determined based on management levels (certain exceptions may exist).

Success Bonus Targets

Career Level	Success Bonus Target (% of eligible earnings)
C1	5%
C2	9%
C3	11%
C4	13%
C5	19%
C6	26%
C7+	Per Individual Bonus Target

Annually, the Company, at its sole discretion, will establish performance measures and associated payout tables which will be used to determine whether, and the extent to which, Success Bonuses will be paid. Performance measures will be determined each year by the Company at its sole discretion.

The degree of achievement of each performance measure will be used to determine the Success Bonus payout percentage. However, the final actual percentage awarded may be higher or lower than the Success Bonus target or may be zero in the Company's sole discretion.

If a Success Bonus will be paid for a given performance period, the value of the incentive will be calculated by multiplying eligible earnings by the performance results payout percentage and the applicable target percentage (eligible earnings include base pay, overtime, and regular payments received during the performance period such as short-term disability, and leave of absence), and does not include discretionary awards or one time or special payments as follows:

$$\text{Eligible earnings} \times \text{Target Award \%} \times \text{Performance Results Payout \%} = \text{Success Bonus}$$

Success Bonuses are prorated, based on eligible earnings at the end of the quarter, to reflect changes in status such as part-time, new hire, rehires, movement between jobs with different management levels, leave of absence, separation from employment with severance eligibility, or death. The Success Bonus may also be prorated when an employee moves between business units with different performance measures.

A number of factors determine whether an employee is eligible for a Success Bonus. These factors are set forth in the section of this Plan titled “*Criteria Affecting Eligibility for Merit Increase and Success Bonus*”.

DIRECTV EXTRAORDINARY AWARD

The Extraordinary Award is a discretionary cash award that recognizes excellence for significant achievements of individuals. Eligible employees can be nominated for an Extraordinary Award at any time during the year by their direct supervisor or higher-level supervisor from their chain of command. Payouts under the plan are limited to once per quarter. Award guidelines are detailed in the Extraordinary Award Plan.

CASH COMPENSATION: SPECIAL INCENTIVES

DIRECTV or individual participating companies may at their sole discretion, include various incentives in the form of kickers, modifiers or special awards. The awards may vary by year and are generally included in DIRECTV Performance Results for Non-Sales employees. If Sales employees are eligible for such kicker or award the details of those awards or eligibility criteria are outlined in the Management Compensation Plan Q&A.

CASH COMPENSATION: OTHER CASH AWARDS

DIRECTV may recognize exceptional individual performance through the use of Cash Awards. Cash Awards may be used to recognize an employee for a single event, project, or an employee’s overall exceptional performance. Cash Award programs are categorized as follows:

- **Incentive-based** – payout of the award is subject to the individual achievement of a predetermined performance objective(s).
- **Recognition-based** – bestowed after-the-fact for employee performance and/or accomplishment.

Cash Awards are funded from the Business Unit’s expense budget. Reward, Recognition, and Incentive Program Cash Awards are subject to the *Reward, Recognition, and Incentive Policy*. Please contact your supervisor or local HR Business Partner with questions or requests for the Policy document.

The Business Unit is responsible to authorize and administer Cash Awards according to the *Schedule of Authorizations and Payroll Administrative Guidelines*.

NON-CASH COMPENSATION AND CASH EQUIVALENTS

Non-cash incentive awards are not readily convertible to cash, and include items such as:

- Meals
- Merchandise awards
- Televisions or other electronics
- Clothing
- Household appliances or other items
- Promotional items such as coffee mugs, etc.

Note: All processes and policies, including tax reporting, must be followed.

Cash equivalent awards are made in a form other than cash but may be readily converted to cash or used in lieu of cash to acquire goods or services. Cash equivalents under this policy must be issued through a preferred DIRECTV vendor. See the *Global Reward, Recognition, and Incentive Administrative Guide* for additional details.

CRITERIA AFFECTING ELIGIBILITY FOR SALARY INCREASE AND SUCCESS BONUS

Salary increase eligibility:

- Hire date is prior to 11/15 of the prior year of effective date of salary increase
- In a C1+ position as of 12/31 of the effective date of salary increase
- Excludes interns and temporary employees

Success bonus eligibility:

- Must be in a success bonus eligible position for 45 days of the performance year
- Excludes interns and temporary employees, or employees on another short term incentive plan
- Must be active on the payroll on 12/31 of the performance year
- Employees on PIP are subject to the terms of the PIP for success bonus

Impact of Position Elimination or surplus on a Success Bonus payout

- Employees who are impacted by a surplus event prior to 2/15 of the performance year will be paid their target Success Bonus based on eligible earnings within 45 days of exit. Employees terminated after 2/15 the following year.

ADMINISTRATION AND AMENDMENTS

DIRECTV reserves the right to modify, amend, or terminate the Management Compensation Plan or any of its components at any time in its complete and sole discretion at any time prior to the close of business of December 31 of the performance year immediately preceding the Success Bonus payment date.

This includes, without limitation, for example, the right to change the Success Bonus target percentage for any level or add or remove plan components. Notwithstanding anything in the Plan to the contrary, the Company also retains the right, in its sole discretion, to increase, decrease, or eliminate the payment of any amount of Success Bonus at any time prior to the close of business of December 31 of the performance year immediately preceding the Success Bonus payment date. Such Company discretion may be applied differently between entities and employees for purposes of determining Success Bonus targets or actual Success Bonus payouts.

References in this document to determinations or other actions by DIRECTV or the Company shall mean actions authorized by the Chief Human Resources Officer or their respective successors or duly authorized delegates, in each case in the discretion of such person.

The Plan is administered by the Chief Human Resources Officer, or his/her delegate(s), who shall have sole authority to interpret and approve exceptions to the Plan.

GLOSSARY

Term	Definition
Base Salary	The fixed compensation component of an employee's pay, excluding any differentials and/or allowances.
Eligible Earnings	Eligible earnings include base pay, overtime, and regular payments received during the performance period such as short-term disability, and leave of absence, and does not include discretionary awards or one time or special payments.
Salary Increase	The annual base salary increase opportunity. Salary Increase may be based on employee performance, expertise, internal equity, and/or an employee's actual base salary as compared to market. Salary Increase is offered solely at the discretion of the Company and is not guaranteed.
Success Bonus	The Success Bonus is a non-discretionary bonus calculated using eligible earnings according to the targets by level identified in this plan. The bonus is paid in cash and is based on attainment against specific preset Enterprise and/or Business Unit performance metrics measured during the performance period. Bonuses are paid at the complete discretion and approval of the Company.
Extraordinary Award	A discretionary cash award that recognizes excellence for significant achievements of individuals.
Job Evaluation	The process DIRECTV uses to define the skills, knowledge and experience necessary to perform a job and compare it to similar jobs in the marketplace.
Market Pricing	The process DIRECTV uses to establish the market value of a job and set pay that is competitive within the marketplace.
Market Value	The comparable value of cash compensation offered by other companies comparable to DIRECTV for similar positions.
Salary Range	A pay range based on the competitive market value of a specific job.

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